



United States
Attorney's Office
Eastern District of California



Carson Tahoe Health System Agrees to Pay Over \$8.8 Million to Settle Allegations Over Pandemic-Related Loans

Monday, March 24, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of California

SACRAMENTO, Calif. — Carson Tahoe Health System, which owns Carson Tahoe Physician Clinics and Carson Tahoe Continuing Care Hospital, has agreed to pay \$8,876,475.45 to settle allegations that they were not eligible for the four Paycheck Protection Program loans that they obtained, Acting U.S. Attorney Michele Beckwith announced.

Congress created the Paycheck Protection Program (PPP) in March 2020, as part of the Coronavirus Aid, Relief, and Economic Security Act, to provide relief to small businesses experiencing economic hardship during the COVID-19 pandemic. To qualify for a loan, businesses were required to meet certain eligibility requirements accounting for any affiliated entities. The United States contends that Carson Tahoe Health System and its affiliated entities were ineligible to receive PPP loans because they exceeded the size limitations in the Small Business Administration's affiliation rules.

In May 2020, Carson Tahoe Health System, Carson Tahoe Physician Clinics, and Carson Tahoe Continuing Care Hospital each received a PPP loan, totaling \$5,077,011 in loan disbursements. After receiving their loan forgiveness applications, the Small Business Administration forgave these loans. In February 2021, Carson Tahoe Physician Clinics applied for a second PPP loan of \$2 million. After Carson Tahoe Physicians Clinic requested loan forgiveness in September 2021, the SBA forgave this PPP loan. The four loans resulted in the United States paying \$7,267,009 including forgiven loan principal and interest, and lenders fees.

"This settlement returns millions of taxpayer dollars to the government and reflects our ongoing commitment to enforce the requirements of the Paycheck Protection Program and ensure that only eligible businesses received this critical pandemic relief," said Acting U.S. Attorney Beckwith.

SBA's General Counsel Wendell Davis stated, "The favorable settlement in this case is the product of enhanced efforts by federal agencies such as the Small Business Administration working with the U.S. Attorney's Office and SBA's Office of Inspector General to pursue recovery from those who obtained essential government program funds when they were ineligible to do so."

The settlement stems from allegations originally brought in a lawsuit filed by a whistleblower under the qui tam provisions of the False Claims Act, which allow private parties, known as relators, to bring suit on behalf of the government and to share in any recovery. In connection with the settlement, the relator will receive a percentage of the recovery.

The matter was handled by Assistant U.S. Attorney Tara Amin for the Eastern District of California.

The claims resolved by this settlement are allegations only, and there has been no determination of liability.

Anyone with information about allegations of attempted fraud involving COVID-19 can report it by calling the Department of Justice's National Center for Disaster Fraud (NCDF) Hotline at 866-720-5721 or via the NCDF Web Complaint Form at: <https://www.justice.gov/disaster-fraud/ncdf-disaster-complaint-form>.

[carson tahoe settlement agreement final v.1.pdf](#)

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